

Board of Directors Package

Vanguard Auto Parts — Q4 2025

Board Meeting: February 6, 2026 | Confidential — Board Use Only

Date	February 6, 2026
Location	Atlas Crossing Partners, 2 Embarcadero Center, Suite 1800, San Francisco, CA 94111
Board Members	M. Tang, D. Okafor (Atlas Crossing); B. Harmon (CEO); J. Whitfield, C. Moore (Independent)
Management	B. Harmon (CEO); T. Nguyen (CFO); S. Park (COO); M. Ellis (SVP Sales)
Deal Team	M. Tang (MD), D. Okafor (Principal), N. Patel (VP), A. Ross (Associate)

Agenda

1. Call to order and quorum confirmation
2. Approval of prior meeting minutes
3. Executive Summary and highlights
4. Financial performance review
5. Operational KPI update
6. Strategic initiatives status
7. Risk review
8. Next quarter outlook
9. Other business / adjourn

Executive Summary

Vanguard Auto Parts delivered Q4 2025 revenue of \$285.9M and EBITDA of \$29.7M (10.4% margin), ahead of budget by 3.1%. E-commerce milestone: 28% of revenue — making Vanguard the most digitally penetrated mid-market aftermarket distributor in North America.

Financial Performance

Metric	Q4 2025 Actual	Budget	Var. to Bud.	Prior Year Qtr	YoY
Revenue	\$285.9M	\$277.3M	+3.1%	\$259.7M	+10.1%
Gross Profit	\$75.2M	—	—	—	—
Gross Margin %	26.3%	—	—	—	—
EBITDA	\$29.7M	\$28.2M	+5.3%	\$26.0M	+14.2%
EBITDA Margin %	10.4%	—	—	—	—
D&A	(\$7.2M)	—	—	—	—
EBIT	\$22.5M	—	—	—	—
Interest	(\$9.5M)	—	—	—	—
Net Leverage	4.1x	—	—	Entry: 6.8x	—
LTM EBITDA	\$117.9M	—	—	Entry: \$52.7M	—

Operational KPIs

KPI	Current Quarter	Entry Baseline	Target
E-commerce % of Revenue	27.1	8.0	Target: 28.0
SKU Count (active)	245,000.0	182,000.0	Target: 248,000.0
Warehouse Locations	19.0	12.0	Target: 19.0
Fill Rate %	97.6	94.2	Target: 97.8

Strategic Initiatives

Initiative	Status	Detail
Exit — CIM distributed	Completed Q1	9 parties received CIM; 6 mgmt presentations complete
First-round bids	Received Q3	4 bids received; 2 buyers shortlisted for final round
E-commerce: 28% milestone	Achieved	28% of revenue — industry-leading digital penetration
Private label target	On track	64 SKUs; 10.5% of revenue; 12% target at close on track

Key Risks & Mitigation

Risk	Severity	Mitigation
Exit timeline	Low	2 motivated buyers; definitive agreement target Q4 2025/Q1 2026
Performance vs CIM	Positive	Tracking 4% ahead of CIM base case
Buyer integration	Low	B2B distribution acquirer; minimal integration risk for buyer

Next Quarter Outlook

Q1 Q1 2026 expected \$289.8M. Final-round bids Q3 2025. Definitive agreement target Q4 2025. Close expected Q1 2026.

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